

Repo rate hiked by 35 bps

Equity Research Desk

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RBI's monetary policy committee (MPC) hiked repo rate by 35 bps to 6.25% taking cumulative hike to 225 bps so far in last 6 months' time. Major reasons for hike were core inflation consistently being at higher levels. RBI has reduced the real GDP growth projections further for second time in a row for from 7% estimated earlier to 6.8% now for FY23. Inflation projection is retained at 6.7% for FY23, while its reduction going forward is anticipated to be gradual. RBI stance was more hawkish than street expectations signaling more rate hike going forward. Parameters that could determine the policy direction going forward would be 1) benchmarking domestic rate with global rates in order to arrest rupee fall 2) anchoring inflation projections

We expect transmission to happen in credit markets, banks are likely to increase lending rates by ~25-30 bps. Transmission in bond market has already happened. Broadly, we remain positive on banking sector.

Key Highlights of policy

- CPI Inflation moderated to 6.8% in Oct 2022 from 7.4% in Sep levels led by food inflation softening of food inflation, LPG prices and kerosene. Core CPI excluding food & fuel inflation continued to remain above 6% levels
- Outlook for inflation for FY23 – Inflation is projected to be at 6.7% in FY23, with Q3 at 6.6% and Q4 at 5.9% with broad assumptions of crude oil being at US\$100 per barrel, benign outlook on food & fuel inflation (barring pressure points remain in prices of cereals, milk, spices). However, RBI opines that core inflation would remain firm given pending pass-through of industrial input prices
- RBI cuts GDP growth estimate for current fiscal FY23 to 6.8% from 7% projected earlier.
- **Economic activity is gaining strength** – Rural demand has recovered reflected in pick-up of sales in tractor & retail two-wheeler sales. Non-food credit rose to by INR 10.6 trillion during Apr-Nov 2022 vs. INR 1.9 trillion growth seen for the same period last year.
- Liquidity is in surplus mode – Daily absorption under LAF was INR 1.4 trillion in Oct-Nov vs. INR 2.6 trillion as on 5th Dec.
- **Dispensation of enhanced HTM limit of 23% extended till March 2024.** Banks will now be allowed to include securities acquired between September 1, 2020 and March 31, 2024 in the enhanced HTM limit. The HTM limits would be restored from 23% to 19.5% in a phased manner starting from the quarter ending June 30, 2024.

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